

jewellery as investment just does not make sense. There are other ways to hold gold.

Given the role of gold in our families and the need to gift gold at weddings in India, do buy gold. But buy it sensibly. ***Not more than 5–10 per cent of your total portfolio goes into gold. You do not buy jewellery as investment.*** Your options to buy gold are coins, bars, gold exchange-traded funds (ETFs) and gold bonds from the government. As of 2017, the smart investment decision is to buy the bonds issued by the Government of India; these bonds give you not only the full market value of gold when you sell the bonds in the future, but also a 2.5 per cent interest on your investment each year. All other ways of holding gold have a cost attached to them and do not give a regular return. I'm ignoring all the tax-not-paid cash that goes into gold. We're only dealing with legit money.

Real estate

After gold, our next obsession is real estate. Like gold, Indians think they have a special relationship with real estate. Real estate is a sure thing in the minds of most people with investing on their minds. A friend's brother is a senior executive in a public sector firm in Jaipur. He has his own inherited house in a good neighbourhood and is looking ahead to a good pension in seven years.

But four years ago, in 2014, he made a strange investment. He bought a flat in one of the Gurgaon high-rises. He took a fifteen-year loan that soaked up almost 40 per cent of his post-tax income. He mortgaged his Jaipur house, because he was so close to retirement that the bank needed collateral. He signed on to pay a hefty 15,000 rupees a month as maintenance charges.

My friend asked me to talk some sense into her brother. I did. I remember talking to him just before he made the investment. Why are you doing this? You have your home already. You will retire before the home loan is paid off. You don't have black money. Real estate is a terrible investment at current price levels. It is better to put this EMI money in an equity mutual fund or even your provident fund rather than a depreciating asset. But bhai was all set.